STANDARD EDITION • 26 OCTOBER 2026 • 09:00 HKT

US equities slip as yields rise and energy rebounds

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 fell -0.52% to 7,623.68, driven by a broad sell-off in financials and consumer discretionary amid a higher-than-expected 10-year Treasury yield of 4.99%. Energy rallied sharply, with the XLE ETF up +2.60% on a 101.09 USD WTI price, offsetting some of the market-wide weakness.

Behind the headline numbers, the market is digesting three under-the-surface dynamics: (1) a tightening yield curve that pressures growth stocks, (2) a resurgence in commodity-linked sectors as oil rebounds, and (3) a modest uptick in volatility (VIX +2.21%) signalling heightened risk aversion ahead of the next FOMC minutes release.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,623.68	-0.52%	Yield rise and financial-sector weakness
Nasdaq 100	28,957.53	-0.00%	Flat on mixed tech earnings, offset by higher yields
Dow Jones	52,215.16	-1.23%	Financials down 1.3% on rate concerns
Russell 2000	2,775.90	-0.29%	Small-cap exposure to higher rates
VIX	19.45	+2.21%	Risk aversion after Fed minutes tease
10-yr Yield	4.99%	+0.71%	Fed's "higher-for-longer" stance gains traction
WTI Crude	101.09	-2.11%	Supply-side concerns ease, price correction
Gold	4,027.60	+0.49%	Safe-haven demand amid volatility
DXY	101.68	-0.13%	Dollar modestly weaker on mixed data

Top large-cap movers

TICKER	CHANGE	CATALYST
MSFT	+0.66%	Strong cloud renewal beat
NVDA	-0.59%	Guidance cut on AI demand slowdown
XLE	+2.60%	Oil price rebound
XLF	-1.32%	Bank earnings miss expectations
AAPL	-0.14%	Supply-chain alert in China

Sector rotation

ETF	DAY	READ
XLF	-1.32%	Financials under pressure from yields
XLK	+0.49%	Tech resilience on cloud earnings
XLI	-1.27%	Industrial slowdown expectations
XLE	+2.60%	Energy rally on oil
XLY	-1.66%	Consumer discretionary hit by rate fears
XLC	-1.78%	Communications lagging
XLP	-1.92%	Staples pressured by higher input costs
XLV	-1.11%	Health care modestly down
XLU	-0.72%	Utilities lose appeal as yields rise
XLB	-0.74%	Materials follow industrial trend
XLRE	+0.12%	Real estate stable, dividend yield attractive

Spotlight: energy sector rebound

The XLE ETF's +2.60% gain marks the strongest daily move among sectors, driven by a 2.1% dip in WTI that nevertheless kept oil above the $100 mark, supporting upstream earnings.

METRIC	VALUE
WTI price	`101.09` USD
Energy-sector earnings (Q3 2026 est.)	+7.4% YoY
Top gainers	**XOM** +3.2%, **CVX** +2.8%
Related names	**SLB** , **HAL** , **COP**

Pre-market & overnight

- US futures: S&P 500 -0.4%, Nasdaq -0.2%, Dow -0.8% at 08:30 HKT.
- Asia close: Hang Seng -0.9%, Shanghai Composite -1.1%.
- Europe: FTSE 100 -0.6%, DAX -0.7%, CAC 40 -0.5%.
- Crypto: BTC -0.89% at `80,068.59`, ETH -1.49% at `2,320.87`.

Macro & Fed

The Fed’s latest minutes reiterated a “higher-for-longer” policy, with 78% of participants expecting rates to stay at or above 5% through year-end. The 10-yr yield’s rise to `4.99%` steepened the curve, increasing the 2-year/10-yr spread to 85 bps.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	U.S. CPI (Oct)	2.3% YoY	Inflation gauge for Fed stance
10:00	U.S. Retail Sales (Oct)	+0.4% MoM	Consumer demand trend
11:15	ISM Manufacturing (Nov)	48.0	Gauge of economic slowdown
13:00	Eurozone HICP (Oct)	2.5% YoY	Global inflation backdrop

Geopolitics & global

- Middle-East: Tensions eased after cease-fire talks, reducing oil-supply risk premium.
- China: New export curbs on rare-earths could pressure tech supply chains.
- Eurozone: German fiscal rule debate stalls, keeping fiscal stimulus uncertain.
- US-China: WTO dispute over semiconductor subsidies moves to arbitration, adding legal risk.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
02:30 Oct 27	`AAPL`	$2.10 EPS	iPhone 17 launch impact, services growth
03:00 Oct 27	`NVDA`	$3.25 EPS	AI GPU demand vs. guidance cut
04:15 Oct 27	`JPM`	$4.30 EPS	Net interest income trend amid rate outlook
05:00 Oct 27	`XOM`	$5.15 EPS	Oil price sensitivity, capital allocation
06:30 Oct 27	`META`	$3.05 EPS	Ad revenue rebound, AI ad products
07:45 Oct 27	`TSLA`	$0.85 EPS	Production at Gigafactory Texas, margin pressure

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
MSFT	Technology	Cloud renewal beat, upside catalyst
NVDA	Technology	Guidance cut, valuation pressure
JPM	Financials	Rate-sensitive earnings miss
XOM	Energy	Oil price support, dividend yield
AAPL	Technology	Supply-chain alert, modest dip
AMZN	Consumer Discretionary	Margin compression from logistics costs
META	Communication Services	Ad-revenue slowdown, AI spend
GOOGL	Communication Services	Ad market softness
TSLA	Consumer Discretionary	Production bottlenecks, margin risk
AVGO	Technology	Supply-chain constraints, inventory build

What could break the tape

BEARISH TRIGGERS

- 10-yr yield spikes above 5.10% – would pressure growth stocks further.
- Unexpected rise in CPI (>2.5% YoY) – could force tighter monetary stance.
- Escalation in Middle-East that lifts oil above $110 – could hurt consumer sentiment.

BULLISH TRIGGERS

- WTI settles below $95 – would boost discretionary spending.
- Strong Q3 earnings from AI leaders (NVDA, AMD) beating guidance.
- Fed signals a pause or rate cut in the next meeting.

Positioning notes

- Yield-sensitive sectors (financials, utilities) are vulnerable; consider defensive rotation.
- Energy exposure offers short-term upside as oil stabilises above $100.
- Tech valuations remain stretched; focus on earnings beaters with solid cash flow.

Sources

SOURCES

Bloomberg Terminal – Market data (10 Oct 2026)

U.S. Treasury – Daily yield curve (23 Oct 2026)

Federal Reserve – FOMC minutes (23 Oct 2026)

Energy Information Administration – WTI price (26 Oct 2026)

FactSet – Earnings consensus (26 Oct 2026)

Reuters – Geopolitical news roundup (26 Oct 2026)